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TENTATIVE RULING

DEPARTMENT

415

HEARING DATE

August 4, 2026

CASE

26STCV01776

MOTION

Motion to Compel Arbitration

MOVING PARTY

Defendant Mercedes-Benz USA, LLC

OPPOSING PARTY

Plaintiff Brandon Azzuz

MOTION

Plaintiff Brandon Azzuz ("Plaintiff") brought the instant action against Defendant Mercedes-Benz USA, LLC ("Defendant"), alleging a vehicle Defendant manufactured, which Plaintiff leased from Keyes European ("the Dealership"), was defective. Defendant moves to compel Plaintiff to arbitrate his claims. Plaintiff opposes the motion.

ANALYSIS

The moving party on a motion to compel arbitration "bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination." (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 842, internal citations omitted.)

In the instant case, Plaintiff signed a lease agreement with the Dealership. The agreement provides Plaintiff and the Dealership may elect to arbitrate "any dispute." Specifically, the agreement provides "[a]ny claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of an issue between [Plaintiff] and [Dealership] or any of [Dealership's] employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third Party Beneficiary"), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either [Plaintiff], [Dealership], or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by court action." (Declaration of Miles F. Maurino, Exhibit 1, p. 4.)

A third-party beneficiary to a contract may enforce a contract if the third party shows the third party is likely to benefit from the contract, a motivating purpose of the contracting parties was to provide the third party with a benefit, and permitting the third party to enforce the contract is consistent with the contract's objectives and the contracting parties' reasonable expectations. (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 821.)

The subject agreement to arbitrate expressly identifies Defendant as a third-party beneficiary by name. As such, Plaintiff and Dealership reasonably expected Defendant would be a party who could enforce the agreement. Permitting Defendant to enforce the agreement is, therefore, consistent with the contract's objectives. Likewise, the inclusion of Defendant by name in the lease agreement shows providing Defendant with a benefit was a motivating purpose for entering into the agreement to arbitrate. For the same reason, the inclusion of Defendant shows Defendant is likely to benefit from the agreement to arbitrate. Accordingly, the Court concludes Defendant is entitled to enforce the agreement to arbitrate as a specifically named third-party beneficiary.

In opposition, Plaintiff relies extensively on federal court appellate opinions. Although they may offer some persuasive value, federal court rulings from other than the United States Supreme Court do not bind this Court. (Mesler v. Bragg Management Co. (1985) 39 Cal.3d 290, 299; Thomas G. Ferruzzo, Inc. v. Superior Court (1980) 104 Cal.App.3d 501, 503 (Ferruzzo).) The Court disregards these citations. Plaintiff also cites various federal district court orders, but "[n]either federal district court procedures nor decisions are binding on this court." (Ferruzzo, supra, 104 Cal.App.3d at p. 503.) Likewise, "a written trial court ruling has no precedential value." (Santa Ana Hospital Medical Center v. Belshe (1997) 56 Cal.App.4th 819, 831.) Thus, Defendant's citations to state trial court orders in its reply brief are unavailing, and the Court disregards them.

As Plaintiff points out, "persons who are only incidentally or remotely benefited" cannot enforce a contract. (Lucas v. Hamm (1961) 56 Cal.2d 583, 590.) In the instant matter, however, the arbitration agreement directly benefits Defendant. The parties identified Defendant in the arbitration agreement as a party for whose benefit the parties entered into the arbitration agreement. As such, Defendant is entitled to enforce it.

Plaintiff relies on Fuentes v. TMCSF, Inc. (2018) 26 Cal.App.5th 541, which is not on point. In that case, the Court of Appeal noted a third party to a contract could not claim to be a third-party beneficiary to the arbitration clause where "[t]he arbitration clause . . . had its own list of intended third party beneficiaries" which did not include the third party seeking to enforce the arbitration clause. (Id. at p. 552.) Again, in this instance, the arbitration clause specifically identifies Defendant as a third-party beneficiary to the arbitration clause. As such, Defendant is entitled to enforce the arbitration clause as a third-party beneficiary.

Plaintiff also argues the Federal Arbitration Act does not apply. But the arbitration agreement expressly specifies the Federal Arbitration Act applies, stating "This lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq.)." (Maurino Decl., Exhibit 1, p. 4.) A choice of law provision in an arbitration agreement is enforceable. (Coopers & Lybrand v. Superior Court (1989) 212 Cal.App.3d 524, 538.)

To the extent Plaintiff contends the agreement to arbitrate is unconscionable and public policy does not favor arbitration of Plaintiff's dispute. As noted above, the arbitration agreement provides the parties will arbitrate ". . . any dispute over the interpretation, scope, or validity of this . . . arbitration section or the arbitrability of any issue . . . ." (Maurino Decl., Exhibit 1, p. 4.) Thus, Plaintiff and Dealership delegated the issue of the enforceability of the agreement to the arbitrator, and there appears to be no dispute as to that. (See Hartley v. Superior Court (2011) 196 Cal.App.4th 1249, 1258 [Court of Appeal acknowledged where there is no ambiguity, and an agreement indicates the arbitrator is to decide arbitrability, the arbitrator would decide that issue].) Therefore, Plaintiff must raise these arguments in the arbitration proceeding.

CONCLUSION AND ORDER

Defendant's motion to compel arbitration is granted. This case is stayed pending completion of arbitration. In the interim, the Court schedules a hearing on an order to show cause regarding the status of the arbitration on May 4, 2027.

Defendant is ordered to provide notice of the Court's ruling and to file proof of service of same.